

BOARD MEETING OF THE CBA
MINUTES (15.06.2021)

On the Refinancing Rate

**The CBA Board Meeting of June 15, 2021 attended by CBA
Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan
and Vakhtang Abrahamyan, and Board Members
Hasmik Ghahramanyan, Arthur Stepanyan, Oleg Aghasyan,
Hovhannes Khachatryan and Davit Nahapetyan**

The Board meeting opened with a report of the situation as of June 15. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy in the context of the continuing outbreak of the coronavirus, and major uncertainties and challenges related to the economic prospects.

As noted, in May 2021, 0.4% deflation was recorded, compared with deflation of 0.1% registered in the same month of the previous year, ***bringing the 12-month inflation down to 5.9% at the end of the month***. In terms of major commodity groups, food and beverage prices and service tariffs fell by 0.8% and 0.2%, respectively, during the month, while non-food prices remained unchanged. In May, in contrast to the decrease of general inflation, which was mainly the result of changes in the prices of seasonal food products and regulated services, the ***12-month core inflation*** continued to grow and at the end of the month was **7.4%**.

Current developments in the foreign sector in 2021 were presented, according to which, in the main partner countries of the Republic of Armenia, tendencies of economic activity and demand are restored faster than expected, which was greatly facilitated by the positive effects of coronavirus vaccines and the implementation of significant stimulus policies. At the same time, the vaccination process in developed countries is projected to be completed by the third quarter of 2021, which will have the corresponding economic impacts, while in developing countries, because of slow vaccination processes, the negative impact of the pandemic on the economy will continue until the end of 2021. In anticipation of a rapid recovery in global demand and limited supply opportunities in some commodity markets, international commodity markets remain highly inflationary, which is particularly reflected in higher food and energy prices. While under the influence of these tendencies, acceleration of inflation and inflation expectations is observed in the partner countries of Armenia, this is assessed as a short-term phenomenon resulting from a number of temporary supply

factors, therefore, central banks of these countries will continue to pursue significant stimulus policies throughout the forecast period.

The Board discussed current developments in the Armenian economy, and it was noted that significant positive tendencies are emerging in comparison with the Central Bank's projections both in terms of economic activity and domestic demand. Thus, economic decline in the first quarter was 3.3% against the 6.8% projected in the monetary program, mainly due to smaller-than-expected declines in output of industry and services. The low level of the decline was inter alia due to the growth of agriculture instead of expected decrease. The recovery of aggregate demand in the first quarter was also faster than expected, but while in the past the impact of external demand prevailed, since the beginning of the year a higher growth in domestic demand was recorded as well, due to a significant increase in private consumption. The latter is assessed as a shock to the rapid recovery of delayed demand, as the current economic and political uncertainties have led to a significant decline in public consumption over the past year and, in parallel, an increase in savings earlier this year was followed by the opposite dynamics of these indicators. That is, during the mentioned period, under the acceleration of inflation and inflation expectations, a sharp increase in consumption expenditures of the population at the expense of accumulated savings was observed, which, together with more positive developments in remittances and lending to the economy, has significantly contributed to a faster-than-expected recovery in domestic demand, although the government is gradually reducing fiscal expansion. The Board also noted that in the context of the growth of foreign demand and international prices for industrial metals, positive developments in exports from Armenia, augmented remittances and incoming tourism, external balance of the Republic of Armenia significantly improves, which is also reflected in dram appreciation tendencies in Republic of Armenia currency market.

The Board discussed situation in the RA financial market and noted that while the Central Bank continued to provide banking system with the required large amount of liquidity through its main instrument, short-term interest rates in April-May slightly exceeded the policy rate set by the Central Bank because of a number of market factors. In such a situation, the Central Bank simultaneously injected liquidity through the adjusting repo instrument, as well as the banks resorted to lombard repo instrument more frequently. During the mentioned period yield growth was observed in the government bond market – in the long-term section in April and short-term section in May, which was facilitated by the CBA policy interest rate decisions, as well as the change in the reserve requirement mechanism. It was noted that in parallel with the recovery of economic demand, the process of lending

to the economy by the banking system has become somewhat more active, where the already existing trends continue. In particular, the growth of total lending is mainly due to mortgage loans, while consumer loans continue to decline.

The Board emphasized the problem of the persisting high inflationary environment and the spill-over inflationary expectations. It was noted that while general inflation has fallen slightly due to seasonal food prices, core inflation, as the main driver of inflation expectations, continues to rise. This year, in addition to supply factors determined by world food prices were supplemented by demand factors as a result of outrunning growth of private consumption against the possibilities of output capacity expansion. Nevertheless, the Central Bank considers the current changes in inflationary expectations manageable and anchored with the Central Bank's target, although amid uncertainty, the Board is also considering possible risks of their subsequent changes and scenarios of ensuing policy measures.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Taking into account the above-mentioned macroeconomic situation and the spill-over inflationary effects expected from foreign and Armenian economies, **a proposal to increase the refinancing rate by 0.5 percentage points was submitted to the Board for review.** As a result of the discussion and summarizing the judgments, **the CBA Board unanimously decided to raise the refinancing rate with the proposed step.** Moreover, reaffirming the consistency of the policy to neutralize the risks of accelerating inflation expectations in parallel with the growth of domestic demand, the Board considered the possibility of tightening monetary conditions in future. In this regard, the Board also noted the need for possible changes to mitigate and curb expansionary stance of monetary conditions in the light of these developments. Under such conditions, it is projected that the 12-month inflation will remain high in the short run, after which it will gradually decrease and stabilize around the 4% target in the forecast 3-year horizon.

The Central Bank Board noted that the risks of inflation deviation from the projected medium-term forecast under the high uncertainty of economic outlook are balanced, and in case of their emergence are ready to respond accordingly, in fulfilment of the objective of price stability.

The Board approved interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

INTEREST RATES OF THE REPUBLIC OF ARMENIA CENTRAL BANK OPERATIONS IN FINANCIAL MARKET

By virtue of Article 2.3 (20) “c” and “f” of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 6.5%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 8.0%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 5.0%.
4. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank

June 15, 2021

PRESS RELEASE
15.06.2021

At the June 15, 2021 meeting, the CBA Board decided to raise the refinancing rate by 0.5 pp, setting it at 6.5%.

Deflation of 0.4% was recorded in May 2021 compared with deflation of 0.1% registered in the same month of the previous year, in which case the 12-month inflation has decreased to 5.9%. The 12-month core inflation kept on accelerating, reaching 7.4% at the end of May.

In the second quarter of 2021, the economic activity and demand in the main partner countries of Armenia are recovering at higher than expected rates thanks to the positive impact of the use of coronavirus vaccines and the implementation of considerably stimulative policies. Because of a rapid growth of global demand and restricted supply in a number of product markets, high inflationary conditions are persisting in international commodity and food markets. Driven by the abovementioned supply and demand factors, higher inflation rates are projected in the partner countries as compared to the previous estimates. In such a situation, the CBA Board is expecting a significant inflationary impact from the external sector on the Armenian economy.

The current developments of 2021 indicate faster-than-expected recovery trends in the Armenian economic growth, largely determined by more positive developments in industry and services. In addition, aggregate demand is recovering faster than expected, mainly due to a rapid growth of global demand, increased remittances, and a high growth rate of private consumption, while private investment remains sluggish. The higher growth of private consumption is supported by more positive developments in lending and conditioned by spending of previously accumulated savings by households, so reflecting also the increased inflation expectations of the public. As a result, with demand growing at a faster rate than production capacities, mostly inflationary effects are anticipated from the domestic economic developments.

Taking into account the inflationary effects expected from the external sector and domestic economy of Armenia, the CBA Board finds it appropriate to increase the policy rate. At the same time, committed to neutralizing the risks of accelerating inflationary expectations in the face of increasing domestic demand, the Board considers the necessity of possible tightening of monetary conditions in the near future. Under such conditions, the 12-month inflation is projected to remain high in the short term but will then gradually decrease and stabilize around the 4% target in the forecast horizon.

The CBA Board reckons that, amid persisting uncertainties over the economic outlook, the risks to inflation deviating from the projected mid-term path are balanced, and should they materialize, the CBA stands ready to respond accordingly in fulfilment of the price stability objective.

You can read detailed information on determining the level of interest rate in Inflation Report to be published by June 29, 2021 (MP Program for Q2, 2021).

Press Service of the Central Bank of Armenia